

May 11, 2025

The Real Impact of Tariffs: Dollar Down, Bonds Shaken, Gold and Bitcoin Rising

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

In this week's video ([watch here](#)), despite persistent recession fears and alarming headlines about tariffs, the hard data continues to tell a different story. Earnings remain strong, jobless claims are low, and consumer spending is holding up. This is a service-based economy—\$14.2 trillion in services versus just \$2.3 trillion in durable goods—with the vast majority of jobs concentrated in sectors untouched by tariffs. Until we see a meaningful rise in jobless claims, recession fears remain premature. As positive trade developments emerge, market focus will likely shift away from tariff drama and toward the more significant and lasting consequences of trade policy—especially its impact on global capital flows, the dollar, and interest rates.

From that angle, the real story this week is the sharp rally in the Taiwan dollar, signaling the potential beginning of an unwind in Asia's massive U.S. dollar reserves—flows that have moved in one direction since the Asian Financial Crisis. At the same time, Stripe's recent investor day revealed that AI startups are scaling faster than ever, compressing product cycles and intensifying global competition. This acceleration poses a growing threat to traditional long-duration assets like venture-backed startups and tech incumbents, which rely on predictable, multi-year growth assumptions that may no longer hold. These two mega-trends—capital flow reversals and exponential AI disruption—point to a structural shift in global monetary dynamics and threaten the low-rate environment that has underpinned the U.S.'s dominance in tech, private equity, and venture capital. The “old world” is giving way to something new. Stripe's keynote also highlighted the rise of a “borderless financial services” economy. And quietly, hiding in plain sight amid tariff headlines with no border, Bitcoin has logged 19 consecutive days of ETF inflows, with rising institutional and state-level adoption and an expanding stablecoin infrastructure. Investors still anchored to outdated narratives are missing the bigger picture: we are in the early innings of a new economic regime that demands a shift in mindset and strategy.

Timestamps:

1. Tariffs Aren't the Threat—The Dollar Shift Is (00:01–03:38)

- Despite political headlines and fearmongering over tariffs, hard economic data (e.g. strong earnings, jobless claims, service sector strength) continues to show no sign of recession.
- Trump's public encouragement to “buy stocks” and consistent earnings strength in U.S. service companies highlight the misalignment between headlines and reality.

2. Taiwan Dollar Move Signals Global Repricing (03:38–06:17)

- A sharp appreciation in the Taiwan dollar is a canary in the coal mine, suggesting a broader unwind of dollar reserves in Asia.
- The move echoes 1997–98 events (LTCM, Thai baht crisis) and foreshadows an end to the 25-year cycle of dollar recycling from Asia.

3. Service Economy Makes Tariffs Obsolete (09:06–10:52)

- Tariffs are mostly irrelevant in today's U.S. economy, where services account for \$14.2 trillion in spending compared to just \$2.3 trillion on durable goods.
- Employment in goods-producing industries is flat since 1965 despite 150 million more people—services dominate jobs and economic output.

4. Weakening Dollar = Global Liquidity Surge (12:36–15:07)

- The weakening dollar is creating a positive feedback loop globally by easing liquidity, especially in emerging markets.
- Global current account imbalances are shifting capital flows, with Asia at risk to sell \$2.5 trillion in dollar reserves.

5. Ken Rogoff & the End of Dollar Privilege (20:22–23:00)

- Rogoff argues that the U.S. benefitted from artificially low interest rates due to reserve currency status—now at risk.
- As demand for Treasuries falls, U.S. rates may decouple from Fed policy and rise, signaling the erosion of dollar dominance.

6. Structural Bond Bear Market Has Begun? (25:13–26:31)

- Rising yields in Japan and Germany signal a global trend.
- The U.S. faces rising inflation expectations, synchronized debt maturities, and diminishing foreign demand for Treasuries.

7. Long Duration Assets at Risk (32:15–34:12)

- Higher long-term interest rates threaten the U.S.'s dominance in private equity, venture capital, and tech—areas highly sensitive to rate moves.
- Elite endowments are starting to exit private equity, showing early signs of capital flight.

8. AI Acceleration and Investment Competition (36:28–38:14)

- AI companies are achieving \$5M ARR much faster than SaaS firms did, but they also churn faster—highlighting both opportunity and volatility.
- Power shortages and AI infrastructure demands could drive inflation and strain U.S. leadership in coding and hardware.

9. Bitcoin Adoption Accelerates Quietly (40:23–42:13)

- Bitcoin ETF inflows are rising (19 straight days) while Google Trends show little public interest—hallmark of early-stage bull markets.
- States like New Hampshire are adding Bitcoin reserves, and institutions are increasingly entering the crypto space.

10. Stablecoins & the Borderless Financial System (39:16–40:06)

- Stablecoins like those used by Bridge and Stripe are enabling real-time cross-border commerce.
- Andreessen Horowitz calls stablecoins crypto's "killer app," marking a shift to an internet-native capital system outside traditional fiat structures.

Watch here: <https://youtu.be/J1bm9kzS57U>

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.